



Iran Shock: Key transmission channels

3 March 2026

2026 is barely two months old and has already demonstrated how shock prone the world has become: the Greenland threat, euro FX appreciation, AI fallout and now war in the Middle East.

In light of the conflict in the Middle East, we use this note to discuss some the ramifications for the European macro outlook. In each we benchmark events in 2026 against the geopolitical and energy shock suffered by Europe in 2022.

First, the rise of geopolitical uncertainty. There is inevitably a focus on energy costs and the risk of higher inflation. However, economic uncertainty is the enemy of growth and there tends to be a stronger correlation between geopolitical uncertainty and economic uncertainty when there is a nexus with energy, trade or financing. Using daily data, we estimate the increase in geopolitical uncertainty so far would cost the euro area about 0.25% of GDP if it persists, though this could be lower if the resilience seen during the 2025 tariff-driven uncertainty shock holds up. In comparison, the uncertainty shock in 2022 was estimated at more than 1% of GDP. That said, fiscal policy leaned against the shock in 2022. It's less obvious that fiscal policy has the space to lean against the shock in 2026.

Second, the impact of rising oil and gas prices on inflation. There is good news, so far at least. Energy curves are pricing a mostly transitory shock, albeit enough to lift 2026 HICP inflation by 0.2bp. This is only a fraction of the energy inflation surge we saw in 2022. If a big energy boost is avoided, non-linear dynamics – triggered by more frequent price changes – become less likely too. With trade between Europe and Asia already avoiding the Suez canal before the latest events, and with Europe's energy imports more diversified, the risk of an escalating regional conflict amplifying an inflation shock via supply chains is also lower.

Third, the role that stable inflation expectations will play in steadying the ECB's hand. A central bank can afford to look through an energy supply shock as long as inflation expectations remain well anchored. We look at recent data and how consistent they are with the definition of well-anchored expectations. In 2022, the de-anchoring occurred when HICP was rising rapidly above 2%. In 2026, the increase in energy costs so far is more consistent with removing the risk of undershooting of the 2% inflation target than with clear overshooting.

This is a situation with considerable uncertainty. We don't know if we are at the end of the beginning or the beginning of the end of the military operations in the Middle East. The market had been worrying lately about a larger HICP undershoot and whether this could compel the ECB to ease further. Rising energy prices muddy the waters but broadly speaking don't yet challenge the ECB baseline of inflation on target in the medium-term. The ECB's data-dependent, meeting-by-meeting, no pre-commitment approach to policy feels wholly appropriate. It can afford to assess how the situation in the Middle East evolves before determining whether and how to respond.

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Introduction

The Euro Area has recently demonstrated remarkable resilience, with its economy consistently exceeding market expectations over the past few quarters. The robust labor market, the stimulus from Next Generation EU (NGEU), and the lingering positive effects of earlier monetary policy easing have collectively enabled the economy to navigate previous shocks, including recent tariff disputes and the potential spread of French political tensions. However, the frequency of these shocks is notably high and increasing. The escalating situation in the Middle East will once again test the Euro Area's resilience.

Against this backdrop, we present our initial thoughts on how the recent Iranian shock may translate into economic impacts. In our view, three key shock propagation channels warrant close monitoring:

1. Uncertainty: Geopolitical uncertainty is highly likely to rise. The daily US Political Uncertainty Indicator already registered a significant jump over the weekend, a magnitude not massively dissimilar to that observed immediately after Liberation Day. Geopolitical uncertainty correlates well with our Economy-wide Uncertainty Indicator. Our empirical estimates suggest that if the current increase in political uncertainty were to persist for a full year, it could reduce Euro Area GDP growth by 0.25 pp. Risks are probably tilted towards a smaller impact – economy-wide policy uncertainty appears to have become less sensitive to direct policy uncertainty in recent times, with the resilience of domestic demand likely providing some buffer against such shocks.

The negative news, however, is that we are likely only at the beginning of this unfolding shock with the possibility that the uncertainty indicator could rise further. The Iranian shock, particularly given its nexus to energy, bears comparison to the Ukraine shock. For reference, the 2022 Russian invasion of Ukraine, which generated a sharp rise in energy costs, resulted in a 3-standard-deviation shock to economic uncertainty. Our models suggested such a shock could cut GDP growth by over 1 pp, plunging the economy into recession. Yet, it did not. Fiscal intervention definitively offset the effect, with Member States implementing various measures to reduce energy bills for households and firms.

This time, however, the situation may differ. Defence spending cannot create the same fiscal buffer, and public finances, already stretched in many European countries, may not support additional stimulus, nor do all countries have the same fiscal maneuvering room.

2. Energy Prices and Inflation: The second shock propagation factor involves oil and how changes in energy prices will transmit to inflation. Crude oil recently surged by ~10% to nearly \$80 per barrel (bbl), while natural gas prices jumped 40% to EUR 46 per MWh following Qatar's suspension of LNG production. Our updated model indicates this will elevate the 2026 Euro Area HICP profile by c.0.2 percentage points, keeping inflation above the 2% target from March onwards. If this shock persists for 12 months, 2026 HICP would be 0.3 pp higher (2.1%). Although this necessitates close monitoring, the current energy shock seems far less severe than the 2022 energy shock: even if oil and gas were to double from their 2025 levels, energy inflation would reach approximately 18% compared to 37% in 2022.

3. Inflation Expectations: A third critical element to closely watch is inflation



expectations, which are key for the ECB and any potential policy actions the Bank may decide to undertake. The ECB will closely monitor longer-term inflation expectations, as their anchoring is crucial for maintaining a steady monetary policy, allowing them to look through short-term disruptions. Past instances of de-anchoring expectations, such as the 2022 energy shock, have prompted ECB policy responses. During that crisis, not only short-term but also longer-term professional and market expectations rose significantly.

While current inflation expectations appear well-anchored, several factors warrant close monitoring: household expectations, being particularly sensitive to food and petrol prices, are the most vulnerable to de-anchoring; the ECB's concern often lies with shifts in the middle of the expectation distribution, not just the tails; and longer-term expectations are more critical than short-term spikes, which can be rational responses to data changes.

4. Supply chain risks: Relatively good news is that the risk of an energy price shock being amplified by broader supply-side disruptions to shipping and energy trade appears contained. First, the physical trade of non-energy goods has already adapted, with shipping between Europe and Asia largely avoiding the Suez Canal before the latest events. This suggests a lower risk of an additional inflation shock from disruptions to non-energy supply chains. Second, Europe's direct energy availability is also buffered by its current import mix, which is towards suppliers like Norway and the US, with a relatively low share of imports coming directly from Persian Gulf states.

Overall, we see risks as clearly lower than in 2022 though some areas of vulnerability have increased. When comparing the current shock to the most "comparable" past event—the energy crisis following the Ukraine/Russia war—there are both positive and negative elements to consider.

On the positive side, even assuming a protracted increase in oil prices, we are still far from the magnitude of increase recorded during the 2022 energy shock, when Brent crude moved above \$100/bbl for nearly six months. This should reduce the risk of inflation expectations de-anchoring. The EU's energy supply has also become more geographically diversified and the fossil fuel intensity of its economy has declined, so the current shock is likely to be a price shock rather than raising risks of physical shortages as we saw with natural gas supplies in 2022. Finally, the Iran conflict has less in the way of other direct ramifications for Europe, such as via trade disruption.

On the negative side, however, the Euro Area probably has less fiscal buffer now than in 2022. The European Commission can reactivate its General Escape Clause if needed, but it would apply to public finances that are already stretched in several European countries. And while the 2022 shock came at a time of a strong post-Covid rebound, the current shock comes when the Euro Area economy is suffering from various external headwinds. First, the lingering energy competitiveness shock – and with the current risks coming on top of already low gas storage at the end of the winter season, this is unlikely to fade any time soon. Second, ongoing trade uncertainty stemming from the US. Third, the Second China Shock which has undermined Europe's (and especially Germany's) manufacturing competitiveness.

We are likely only at the beginning of this unfolding shock, with several factors still unknown. If things worsen, policymakers may need to step in again, with probably more focus on the ECB, as monetary policy typically acts fast and faster than fiscal

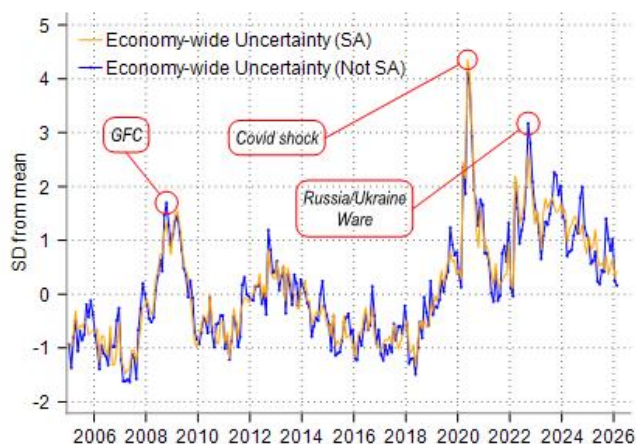


policy. The ECB's data-dependent, meeting-by-meeting, no-pre-commitment approach to policy feels wholly appropriate, allowing it to assess how the situation in the Middle East evolves before determining whether and how to respond

1 Channel: Uncertainty

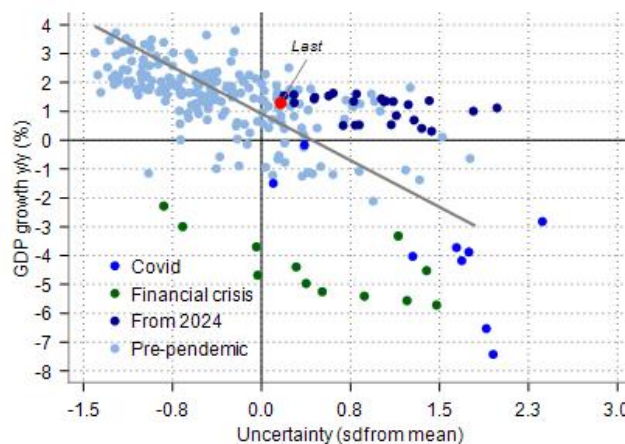
Uncertainty serves as a critical channel for shock propagation within the economy. As our regular readers know, we have developed an [Economy-wide Uncertainty](#) indicator that measures uncertainty by focusing on survey data, specifically how panelists respond to questions regarding expectations. The more concentrated their answers are towards a single outcome, the lower the perceived uncertainty. Our economy-wide uncertainty indicator demonstrates a strong correlation with GDP growth, and our analysis suggests that a one-standard-deviation increase in this indicator would typically reduce GDP growth by 0.4 pp.

Figure 1: DB Economy-wide Policy Uncertainty



Source : Deutsche Bank, EC, Macrobond

Figure 2: DB Economy Wide Policy Uncertainty and GDP growth



Source : Deutsche Bank, EC, Macrobond

Assessing Recent Events: Our economy-wide uncertainty indicator relies on European Commission surveys, which are released monthly. Therefore, we will need to await the end of the month to obtain the first comprehensive assessment of how European business and household confidence has evolved as a result of the latest events in the Middle East, and consequently, to infer changes in overall uncertainty. In the interim, two analyses can be conducted to assess how uncertainty might evolve and what might be the impact on the economy:

- **#1. Relying on Daily Indicators:** The Economic Policy Uncertainty website provides daily data on US policy uncertainty. This indicator, when analyzed on a monthly basis, exhibits a good correlation with the European Policy Uncertainty Indicator. Historically, a one-standard-deviation (1 sd) increase in US policy uncertainty has translated into a 0.6 sd increase in the European policy uncertainty indicator. Our research indicates that a persistent shock (lasting 12 months) of one standard deviation to policy uncertainty elevates economic uncertainty by 0.5 sd, which would subsequently reduce GDP growth by 0.2 pp.

While the level of the daily US policy uncertainty indicator has been

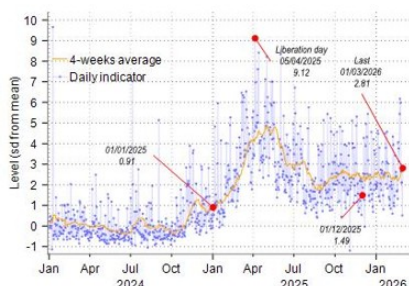


relatively low in recent weeks, it jumped on March 1st after the events in the Middle East. The indicator increased of 2.3 sd, a surge not dissimilar to after Liberation Day, suggesting a notable initial jump.

Considering the established relationships between US policy uncertainty, European policy uncertainty, and overall Euro Area economy-wide policy uncertainty, a sustained shock of this magnitude, protracted over a full year, could potentially cause a drag of 0.27 pp on Euro Area GDP growth.

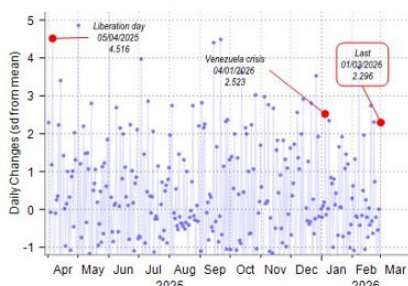
On the positive side, economy-wide policy uncertainty appears to have become less sensitive to changes in policy uncertainty in recent times. The strength of its domestic demand can create some buffers. The negative news, however, is that we are likely only at the beginning of this new shock. With several factors still unknown, there is a distinct possibility that the uncertainty indicator could rise further.

Figure 3: US daily policy uncertainty... its levels



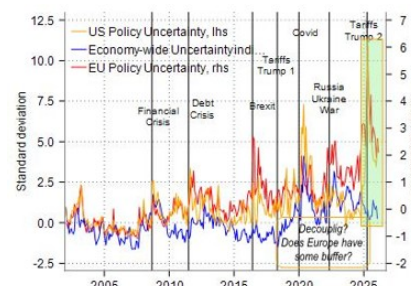
Source : Deutsche Bank, [Economic Policy Uncertainty](#), Macrobond

Figure 4: ..and its daily changes



Source : Deutsche Bank, [Economic Policy Uncertainty](#), Macrobond

Figure 5: US and European monthly uncertainty



Source : Deutsche Bank, [Economic Policy Uncertainty](#), EC, Macrobond

- **# 2. Drawing Lessons from Past Similar Events:** To contextualize the current situation, it is useful to look at similar events in the past. The closest comparable example is the onset of the Ukraine war in February 2022. On that occasion, our economy-wide uncertainty indicator rose by 3 standard deviations. If uncertainty were to rise by such an amount, our model would suggest that the economy would enter a recession, similar to what occurred after the Global Financial Crisis (when the Uncertainty Indicator rose by 2 sd) and during the COVID-19 pandemic (a rise of 4 sd).

However, following the Ukraine/Russia war, the economy did not enter a recession. A key factor explaining this divergence was the vigorous fiscal reaction. The European Commission had activated the General Escape Clause following the COVID-19 shock. Given the gravity of the pandemic, the relaxation of fiscal policy was insufficient to prevent a Euro Area recession. Nevertheless, the Commission extended the activation of the General Escape Clause to address the energy shock prompted by the war. To put this in context, [in Autumn 2021](#) the European Commission projected a stimulative fiscal impulse for 2022 worth less than 1 pp of GDP. One year later, in [Autumn 2022](#), the estimated fiscal stance for 2022 was revised to 2.25 pp of GDP, representing an additional fiscal boost of over 1 pp.

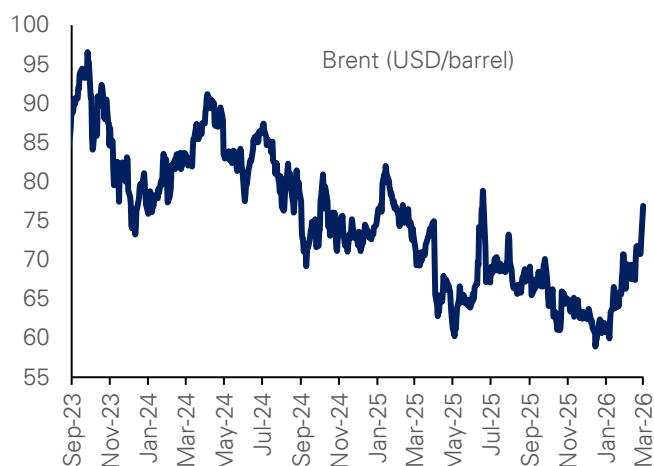


This significant fiscal boost helped prevent the uncertainty shock from translating into another recession, effectively creating an economic buffer. Today, however, the situation might be different. The Commission has activated the National Escape Clause (NEC), but solely for defence-related expenditures. These expenditures typically have a [low fiscal multiplier](#), are politically challenging to implement, and not all Member States possess the same [fiscal maneuvering room](#). Notably, France, Italy, and Spain have not requested the activation of the NEC. While circumstances might change and the EU could potentially call for the activation of the General Escape Clause again, the starting point today is one in which fiscal policy has less room for manoeuvre. With the ECB also running off its balance sheet today vs reinvesting in 2022, monetary policy is less accommodating of fiscal easing. In other words, there might be more downside risk in the event of a more persistent energy shock.

2 Channel: Inflation

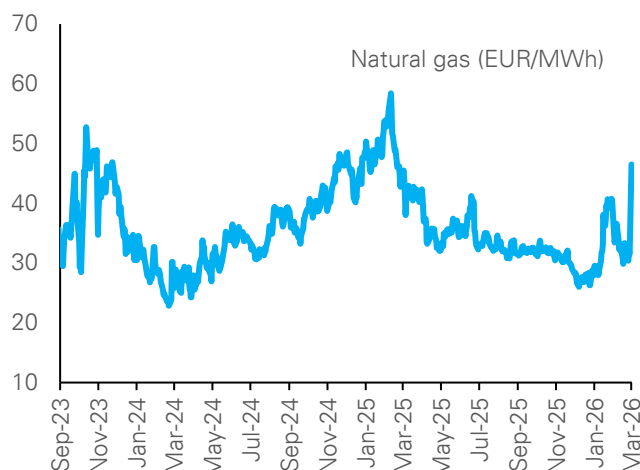
Energy prices operate as the main transmission channel of geopolitical risk to inflation. Since Friday, crude oil has surged by c.10% to nearly USD 80 bbl. The move in natural gas has been more pronounced, with prices climbing nearly 50% to EUR 46 MWh after Qatar announced the suspension of natural gas production at some of its facilities.

Figure 6: Oil up by 10%...



Source : Deutsche Bank Research, Bloomberg Finance LP

Figure 7: ...gas by almost 50%



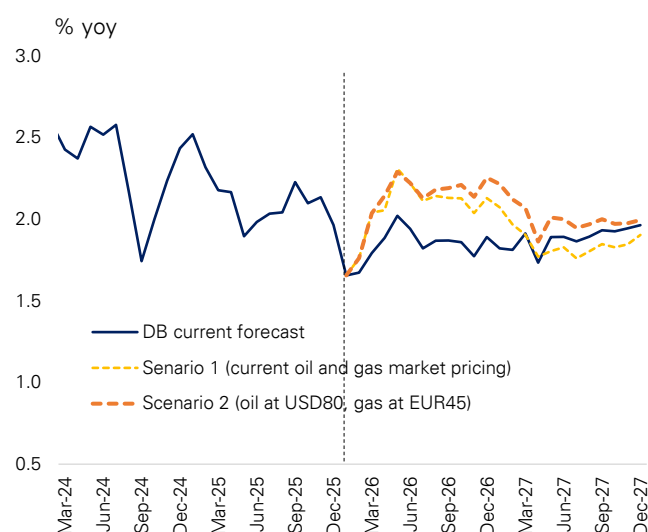
Source : Deutsche Bank Research, Bloomberg Finance LP

To illustrate the direct impact of higher energy prices to consumers, we have updated our inflation model with the latest market pricing data. Relative to our baseline scenario, the 2026 headline HICP profile shifts up by about 0.2pp, with inflation staying above the 2% target from March onwards. As the energy impulse fades, headline inflation would fall back to 1.8-1.9% in 2027. However, if the shock turned out to be more persistent, and both oil and gas stayed at their current levels over the next 12 months, headline HICP would be 0.3pp higher than currently assumed in 2026 (2.1%) and 0.2pp higher in 2027 (2.1%).



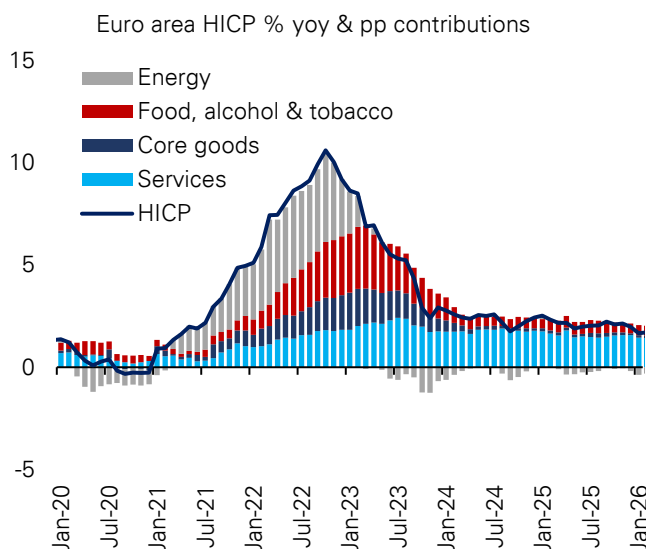
While this would imply no undershooting of the inflation target and warrant a more cautious approach from the ECB, it is worth highlighting that we are still far from replaying the inflation surge experienced during the 2022 energy shock. For context, energy inflation reached 37% in 2022. If oil and gas were to double from their 2025 levels (to USD 136 bbl and EUR 73 MWh, respectively), our model shows energy inflation would rise to ~18%. Our commodity strategists [expect](#) oil prices to remain around USD 80 bbl for the time being, with potential for a USD 80-100 bbl range if shipping traffic in the Strait of Hormuz remains threatened and USD 200 bbl is the Strait is fully closed for an extended period of time.

Figure 8: Surging energy prices could push headline inflation back above target



Source : Deutsche Bank Research, Eurostat, Haver Analytics

Figure 9: Food prices amplified inflationary pressures in 2022



Source : Deutsche Bank Research, Eurostat, Haver Analytics

Beyond the direct boost to inflation, renewed energy price increases risk triggering indirect and second-round effects. Food prices for instance, which also played a significant role in the 2022 inflation surge, could add to the inflationary pressures. [ECB research](#) has shown that higher energy costs were the main contributor to the rise in food inflation over that period. While we see risks to food inflation currently tilted to the downside, this could shift rapidly.

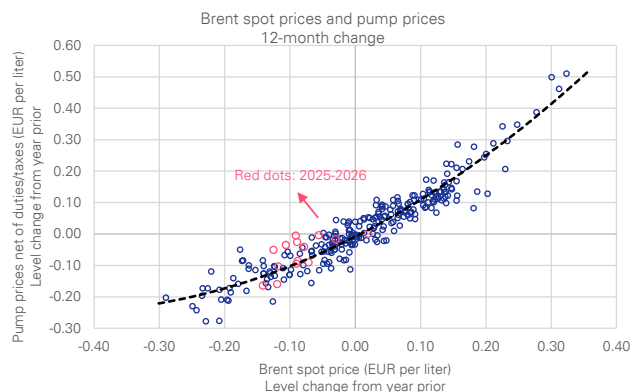
The model outputs described above represent our central estimate, but we identify both amplifying and mitigating factors that create a balanced risk profile around this baseline. On the upside for inflation, there is a risk of an asymmetric price response; empirically, end-consumer prices have historically tended to react more strongly to oil price shocks on the upside than on the downside ([Figure 10](#)). Conversely, a mitigating factor is the EU's strategic energy reserves. Member states are required to hold emergency oil stocks equivalent to at least 90 days of net imports, a rule with which compliance appears to be high ([Figure 11](#)). However, it is worth noting that as of late 2025, the stock levels of larger member states appear a little lower. The reserves could be released, if not to keep prices low, then to prevent any major shortages from materializing.

Finally, note that these developments will leave the upcoming ECB staff projections



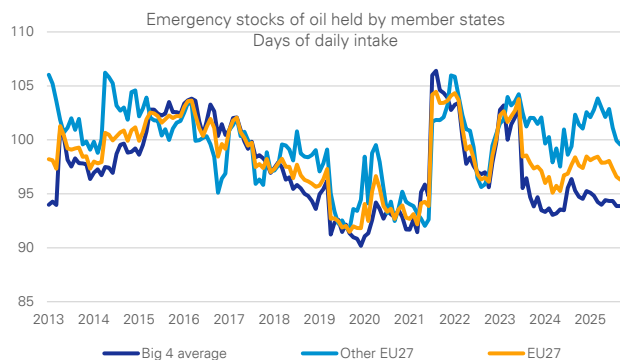
already outdated. The new forecasts, set for release on March 19, will be based on technical assumptions set between February 11-24. Over that window, oil prices were around USD 67 bbl while gas was around EUR 31 MWh.

Figure 10: Asymmetric pass-through from crude to pump prices



Source : Deutsche Bank Research, Eurostat

Figure 11: EU countries strategic oil stocks provide a buffer



Source : Deutsche Bank Research, Eurostat

#3 Channel: Inflation expectations

One of the data signals the ECB will be watching closely during this period is longer-term inflation expectations. The ECB's monetary policy strategy is focused on inflation in the medium term, and if inflation expectations remain well anchored, it will give the ECB confidence to look through any short-term disruptions from current events and keep policy on hold throughout this year. In the past risks of inflation expectations de-anchoring have coincided with policy responses from the ECB, both to the upside (the pandemic and energy shock from Russia's invasion of Ukraine) as well as the downside (the period of unconventional policy following the euro debt crisis)

The energy shock resulting from Russia's invasion of Ukraine in 2022 is likely to provide the closest analogy to the current events given what we know so far. Although inflation expectations had been rising because of the pandemic (and the broader economic recovery before that), both professional (SPF) and market-implied inflation expectations rose significantly following Russia's invasion in February 2022. Importantly, it was not just short-term expectations that rose, but longer-term expectations also rose and remained elevated.



Figure 12: Expectations from the Survey of Professional Forecasters rose across all horizons (%)



Source : Deutsche Bank Research, Haver Analytics LP

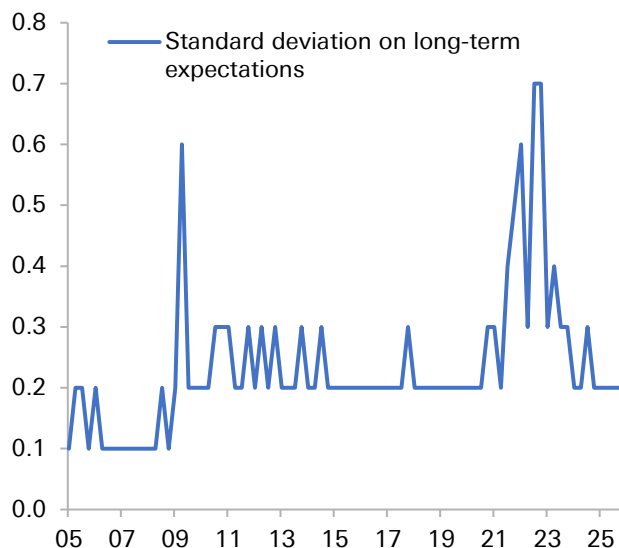
Figure 13: Market-implied expectations also rose and remained high for a while (%)



Source : Deutsche Bank Research, Bloomberg Finance LP

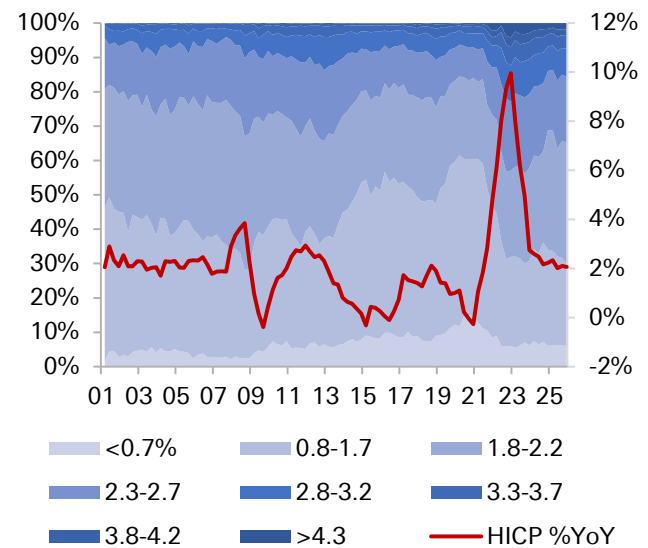
The increase in long-term professional expectations (SPF) also saw the dispersion of expectations increase, with the standard deviation of the distribution rising to a record high. The increase was driven by the mid-to-upper tail of the distribution. The share of respondents with expectations above 2.3% rose from an average of 21% in 2021 to an average of 38% in 2022, and 42.4% in 2023 (its peak). It was this broad-based increase that gave the ECB concern that inflation expectations risked de-anchoring, and contributed to their decision to respond to the risk of second-round effects by hiking policy rates.

Figure 14: The rise in long-term SPF expectations was caused by a change in the shape of the distribution



Source : Deutsche Bank Research, Haver Analytics LP

Figure 15: The distribution of long-term SPF expectations shifted when headline inflation was high



Source : Deutsche Bank Research, Haver Analytics LP



In a [recent report we examined](#) how well various measures of anchored inflation expectations are in the latest data. Our findings suggest that heading into the current crisis, inflation expectations appear to be well anchored. While that does not guarantee that expectations will remain anchored in response to current events, it does provide a solid foundation that could allow expectations to remain anchored. That analysis as well as past inflation expectations episode suggest a few factors warrant close monitoring at this time:

First, our analysis showed household inflation expectations displayed the weakest evidence in support of well anchored inflation expectations. On top of this, the academic literature has shown that households' inflation expectations are sensitive to food and petrol prices – two of the prices they most commonly interact with. Therefore, higher oil prices could pose a risk to the anchoring of household inflation expectations, and we may see household expectations become the first to de-anchor.

Second, longer-term expectations matter more than shorter-term expectations. Spikes in shorter-term expectations are often rational, and appropriate responses to changes in data. It does not necessarily indicate second-round pressures (such as wage-price spirals). The ECB's recent press statements have specifically focused on "longer-term" inflation expectations.

#4. Shipping and Energy Trade: More limited impact through supply chain chokepoints

While the potential closure of the Suez Canal due to the US-Iran conflict raises concerns about supply chain disruptions and additional price pressures for the European economy, our European shipping analysts highlight two fundamental factors cushioning the impact on European value chains and costs, leaving aside the movement of commodity prices, addressed in the previous section.

- First, the container shipping market has built significant capacity. The global fleet has grown from 30.9m TEUs at the end of 2024 to 33.1m TEUs as of early February, with forecasts for further capacity growth of 4.4% in 2026. This, combined with a sizable order book equivalent to 35% of the current fleet (the highest in over 15 years), creates a significant supply-demand imbalance. This slack has kept freight rate movements modest and far from the dynamics seen during the COVID crisis. While spot rates from Shanghai have jumped on the recent news, this is from relatively low levels seen before the Chinese New Year.
- Second, the "delta" or marginal impact of any Suez blockage is less severe than one might assume because traffic has already been minimal since 2024. Current daily container transits through the canal were averaging only ~23k TEUs year-to-date, a fraction of the 150-200k TEUs per day seen prior to 2024.

As such, our shipping specialists do not currently expect meaningful value chain disruptions outside of energy trade. Based on these market fundamentals, they anticipate a more limited increase in freight rates than seen during previous crisis episodes (see their latest [leading indicator dashboard](#) for charts and details).

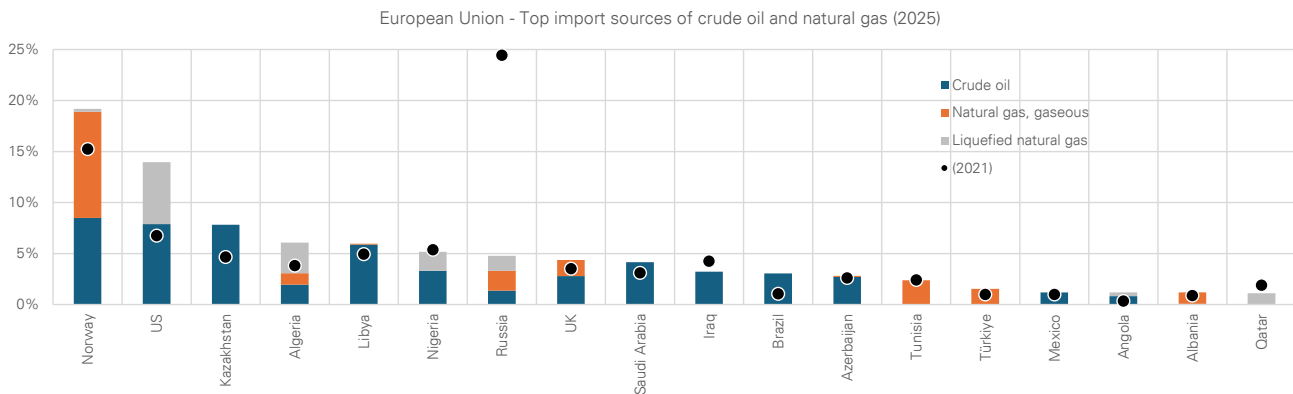
Diversification. When it comes to energy trade, a notable recomposition of the



EU's energy suppliers has occurred since Russia's 2022 invasion of Ukraine. [Figure 16](#) shows a shift in import shares across oil and natural gas between 2021 and 2025, where Russia's share of EU energy imports fell from 25% to 5%. The import shares of other key suppliers increased, notably Norway, the US, Kazakhstan and Algeria, whose shares collectively rose by 16pp over the same period. This revised sourcing structure informs the EU's exposure to current geopolitical risks.

Moreover, Europe exhibits a relatively low direct import reliance on the Persian Gulf region – only Saudi Arabia and Qatar appear in the list of major import sources, based on the data we collected from Eurostat. The primary transmission of the current crisis to the European economy is hence more likely to be via global energy prices, rather than through a direct disruption to the physical supply of energy.

Figure 16: EU energy imports: A post-Russia recomposition



Source : Deutsche Bank Research, Eurostat (datasets [nrg_ti_gas](#) and [nrg_ti_oil](#)). Notes: 2025 trade share covers January to September. Energy categories are aggregated based on their calorific value. These specific Eurostat energy datasets, compiled from national statistical bodies, are used in place of standard trade data to ensure the accurate capture of natural gas flows, which are often missed by customs-based reporting, as some [research](#) shows. Data for Türkiye, Albania and Tunisia are likely reflect pipeline transit volumes from Azerbaijan, Russia and Libya.



Appendix 1

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